It is recommended, therefore, that a paper be prepared for presentation to the National Security Council setting forth the foregoing considerations and recommending that the JCS direct Admiral Badger to evacuate his forces from Tsingtao under either of the two eventualities described above and to report for the information of the concerned U. S. Government agencies any action which he has taken pursuant to his current directive, particularly with respect to undertakings he may have assumed for the defense of any portion of the Tsingtao area.

Executive Secretariat Files : NSC 11

Memorandum by the Acting Secretary of State to Rear Admiral Sidney W. Souers, Executive Secretary of the National Security Council

WASHINGTON, December 14, 1948.

I am enclosing herewith a draft paper on the action which should be taken with reference to U. S. Naval Forces at Tsingtao.

I recommend that this paper be placed on the agenda for consideration of the Council at the meeting to be held on Thursday, December 16, 1948.[57]

ROBERT A. LOVETT

[Enclosure]

Memorandum Prepared in the Department of State [58]

Problem: To Determine the Action Which Should Be Taken With Reference to U. S. Naval Forces at Tsingtao in View of the Contemplated Withdrawal of Chinese Naval Units From That City.

Analysis:

1. The Embassy at Nanking has been informed [59] by the Chief, Naval Division, JUSMAG, that the Generalissimo has approved the removal of the Chinese naval training base and other naval installations at Tsingtao to southern Taiwan and the establishment of a naval academy at Amoy and that the Chief of Staff of the Chinese Navy is actively planning this move.

2. Removal of Chinese naval forces and naval facilities from Tsing-

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[57] At its meeting on December 16 the National Security Council noted and discussed the report by the Acting Secretary of State and referred it to the National Security Council staff for the preparation of a report to the Council.

[58] Circulated by the Executive Secretary of the National Security Council as NSC 11/2.

[59] Reported to the Department in telegram No. 2430, December 6, not printed.

tao is probably indicative of a Chinese decision that Tsingtao cannot or should not be defended. Consequently, if American forces remain at Tsingtao, they would probably have to assume primary and perhaps sole responsibility for the defense of the city and the supplying of the civil population, or they would be dependent upon Communist suffrance. It is believed that the former would be folly and the latter impossible. Furthermore, the principal reason for having American naval forces in Tsingtao, viz., the Chinese naval training program, would cease upon the departure of Chinese naval forces, and a providential opportunity for withdrawing U. S. forces without loss of prestige and with minimum damage to Chinese Government morale would arise.

3. Removal of Chinese naval installations to Taiwan and Amoy would supply a basis for the concurrent movement of U. S. forces to those places. If, for overall strategic reasons, it is desirable to maintain a U. S. naval installation in Chinese waters, the location of the installation on Taiwan would appear, in the light of the progressive disintegration of the National Government position, much more tenable politically and economically than at Tsingtao or Shanghai or any other mainland city. The absence, insofar as is known, of significant Communist penetration of Taiwan and the evident difficulties which would confront the Communists in attempting direct military assault on the island would probably render such installation relatively free from Communist pressure, at least for the time being. For the same reason, the danger of U. S. forces becoming directly involved in hostilities with Communist forces would be small.

4. On the other hand, there are evident disadvantages in establishing U. S. naval forces either at Amoy or on Taiwan. If such forces were located at Amoy, the extension of Communist control over South China would lead to the flocking of Chinese refugees to that city. If Communist control of the surrounding area should be consolidated, our forces would be faced with the probability of direct conflict with the Communist forces and with the problems of providing essential commodities for the refugee-swollen city cut off from its normal sources of supply and coping with organized Communist infiltration and terrorism.

5. The Department of State recognizes the strategic importance of Taiwan and is fully cognizant of the undesirability of it passing under the control of a Chinese Communist-dominated government. However, the stationing of American naval forces on the island at this time would cause mainland Chinese to flee to Taiwan in large numbers in the belief that they would be protected by the U. S. Navy. In view of the dismal record of Chinese administration of Taiwan to

date, this additional influx of Chinese refugees, which would inevitably include large numbers of predatory politicians and carpetbaggers, could only increase the burden on the island's economy and exacerbate the present Taiwanese hatred of mainland Chinese. By thus paving the way for Communist infiltration and Communist inspired uprising of the Taiwanese, the stationing of U. S. naval forces on Taiwan would, at this juncture, unless offset by other factors which are not now present, facilitate rather than prevent the spread of Communism in the island.

6. Furthermore, the stationing of U. S. naval units on Taiwan, by lending credence to Communist charges that we are preparing to detach the island from China, would endanger U. S. interests and jeopardize the position of U. S. officials and other American residents throughout the mainland of China. It would strengthen the position of the Chinese Communists politically as the defenders of China's integrity against U. S. imperialistic aggression, and would tend to unite all Chinese regardless of political affiliations or belief in a movement for the restoration of Chinese territory. The U. S. would, in brief, have largely succeeded to the position of Japan. Finally, those forces opposing us throughout the world would seize the opportunity thus presented to charge us with imperialistic and predatory designs upon Taiwan.

7. The decision has been reached that the Joint U. S. Military Advisory Group will be deactivated and withdrawn from China if Nanking should fall or be seriously threatened by Communist attack. The removal of the U. S. Naval Advisory Division of the JUSMAG would be in keeping with this decision; the removal of the Chinese naval training activities from Tsingtao would provide an excellent opportunity for the U. S. to discontinue its participation in such activities.

Conclusions:

8. Admiral Badger should proceed energetically to evacuate dependents and surplus material and to liquidate shore-based activities. He should be directed at this time to withdraw his forces when it becomes publicly known that Chinese naval training installations will be removed from Tsingtao or as soon thereafter as may be feasible without jeopardizing plans for the evacuation of Americans in China. Public intimation of his intention should be avoided until the Chinese intention to transfer their installations becomes publicly known in order that his withdrawal may be attributed to the Chinese move rather than vice versa.

9. The existing program for training units of the Chinese Navy

should be suspended upon the removal of the Chinese naval training base from Tsingtao.

10. American naval forces should not be established at this time either on Taiwan or at Amoy.

811.3393/12-2348 : Telegram

The Consul at Tsingtao (Strong) to the Secretary of State

TSINGTAO, December 23, 1948—3 p. m.
[Received 9 : 46 p. m.]

234. Badger called me to flagship forenoon December 21 discuss estimate and recommendations in preparation submission reference maintenance forces here. Told me felt obliged get my opinion view political, economic factors so important. Said Tsingtao had been expected center for evacuation but that phase over; as base, no longer secure; as position vis-à-vis Soviets, no legal standing whereas Soviets occupy Park Hurdairne [*Port Arthur-Dairen*] legal; to hold China desirable but can't be maintained by force; few months ago North and Central China in dispute due low defective military equipment, [North?] broken off back with fatal effect Central China, thus considers China a political-economic problem, not military.

He now felt effect, under Communist occupation, on Embassy, Consulate Generals, private Americans of shooting with Communists 2 months ago; such event might have stiffened Nationalists. Approved persistent Department stand is [against?] involvement civil war, feels only hold on Communists now economic.

I have read estimate which states four alternatives:

(1) Maintain present forces ashore;
(2) Maintain present force Tsingtao partly ashore, partly afloat; all logistics waterborne;
(3) Withdraw completely now;
(4) Maintain one battalion landing team 1250 men ashore police purposes, support from ships, send remainder Marines Guam or Okinawa outload heavy weapons equipment, base combat planes carrier, most transports outside China.

Expect him recommend fourth course view waning need support Gimo Government, probable small local reaction and Department's desire avoid incident less shipping tied up in waterborne force. Is within terms present directives and can pull out very fast.

Badger believes will be forced out soon to avoid incident which Communists will provoke. CO Marines here states joint occupation with Communists impossible. Plans officer feels strongly fourth course vacillating, all forces should be withdrawn soon.

In view reference local effect complete withdrawal, timing important. Necessity rely on Communists maintain order rather than police or Nationalist military point to desirable create most favorable conditions for Communists take over. Believe reduction Marines and establish completely waterborne support cause no major local reaction but would be indication to Communists to plan take over near future, would allow time outload Nationalist troops which greatest internal security threat. Communists Tsingtao presumably several thousand well-organized, probably prevent much serious looting and violence if balance Marines made sudden exodus. Believe safety at least 150 Americans depends this factor. Would seem probable Nationalist and particularly if Peiping–Tientsin lost. Serious fight between Communists and Marines might well necessitate evacuation entire Consulate General. Am attempting learn indirectly extent Communist organization and plans.

Sent Nanking 401; repeated Department 234.

STRONG

893.3395/12-2748 : Telegram

The Consul at Tsingtao (Strong) to the Secretary of State

TSINGTAO, December 27, 1948—5 p. m.
[Received December 27—6:41 a. m.]

238. Estimate (refmytel 401 to Embassy, repeated Department 234, December 23) still being revised. From conversation yesterday with planning officer gathering Admiral Badger swinging to view should retain entire Marine force ashore supported from ships; at time withdrawal necessary, would leave small force ashore protect lives, property during turnover.

Communist official Tsingtao of unknown rank in informal talk with West of Presbyterian mission stated Communists here already organized, could take over short notice, expect do so in about 2 months; Chinese Army, Navy, police infiltrated, believe people would remain quiet; fear only possible looting by Chinese soldiers. Expressed expectation small Marine force would remain help Communists keep order. Said Marines would not be molested; Communists desire avoid incidents in order assure future trade with US.

I am of opinion if Marines not withdrawn until majority Nationalist troops leave, turnover will be peaceful and no need for Marine detachment remain ashore. Bulk of population realizes Communists will punish looters or saboteurs, thus will remain quiet. If significant number Nationalist troops remain, small group carefully selected indoctrinated Marines desirable. West's Communist contact requesting